



# Political Economy and Urban Planning: An Institutional Analysis of Urban Infrastructure Policies (JNNURM and NUTP) in India

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**Received:** 08-12-2025

**Revised:** 09-25-2025

**Accepted:** 09-30-2025

**Citation:** N. Sansare, "Political economy and urban planning: An institutional analysis of urban infrastructure policies (JNNURM and NUTP) in India," *J. Urban Dev. Manag.*, vol. 4, no. 4, pp. 241–248, 2025. <https://doi.org/10.56578/judm040401>.



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**Abstract:** This paper examined the impact of political economy on urban governance and planning in India through the lens of historical institutionalism. It analysed the economic reforms of 1991 and their implications on the evolving role of government across different levels, particularly in reshaping institutional responsibilities within the domain of urban development. The case studies of Jawaharlal Nehru National Urban Renewal Mission (JNNURM) and the National Urban Transport Policy (NUTP) provided insights into how governance reforms and policy frameworks evolved within an existing institutional structure. A comparative analysis of these case studies suggested that the adoption of urban governance reforms in India has been gradual and path dependent, rather than transformative. The paper concluded by highlighting key institutional shortcomings, including constrained decentralisation and limited fiscal capacity at the city level, and identified areas where further improvement is necessary.

**Keywords:** Urban governance; Political economy; Historical institutionalism; Jawaharlal Nehru National Urban Renewal Mission; National Urban Transport Policy

## 1 Introduction

Urban transformation in India over the past three decades has been a defining feature of its development trajectory. Rapid population growth, economic liberalisation, and expanding infrastructure investment have positioned cities as central arenas of economic and political change. At the same time, urban governance in India has continued to be characterised by limited institutional capacity and persistent dependence on higher levels of government [1].

The liberalisation of India's economy in 1991 altered the relationship between the state and the market in urban development. Urban infrastructure came to be viewed as a key driver of productivity and competitiveness, and cities were increasingly positioned as engines of economic growth [2]. In response, the central government introduced a series of national initiatives that sought to combine large scale infrastructure investment with reforms in urban governance and planning. Among the most significant of these initiatives were Jawaharlal Nehru National Urban Renewal Mission (JNNURM), launched in 2005, and the National Urban Transport Policy (NUTP), introduced in 2006 and revised in 2014.

Despite the scale and ambition of these initiatives, the institutional outcomes of urban reform have remained limited. New planning instruments, administrative procedures, and coordination mechanisms were introduced, yet Urban Local Bodies (ULBs) continued to depend heavily on state and central governments for finance, technical expertise, and decision-making authority [1, 3, 4]. This gap between reform aspirations and governance transformation reflects a broader contradiction in India's urbanisation process, in which decentralisation is promoted rhetorically but constrained in practice.

While existing literature has highlighted the path dependent nature of Indian urban governance, fewer studies have examined how specific reform instruments were mediated through established institutional arrangements. This paper addressed this gap through a comparative institutional analysis of JNNURM and NUTP. Rather than evaluating policy success in terms of outputs alone, the paper examined how reform objectives were translated into governance practices and institutional outcomes.

## **2 Theoretical Foundations**

### **2.1 Political Economy of Urban Infrastructure Reform**

Political economy emphasizes how economic restructuring, state priorities, and institutional power relations shape the design and implementation of policy. In the Indian context, economic liberalisation reoriented development strategy towards market competitiveness, fiscal discipline, and infrastructure-led growth [5, 6]. Urban infrastructure was being viewed as a critical driver of productivity and investment attraction, leading to renewed central attention to urban reform.

However, scholars in the field of political economy highlighted that such reforms were implemented through existing institutional arrangements rather than replacing them. As a result, outcomes of reform were shaped by administrative hierarchies, fiscal relations, and planning systems inherited from earlier periods [7, 8]. In India, despite constitutional commitments to decentralisation, ULBs remain fiscally dependent and subject to oversight at state level [1]. This structural context shaped the design of JNNURM and NUTP.

JNNURM reflected a political economy that sought to combine central oversight with performance-based incentives. The NUTP, in contrast, reflected recognition of institutional fragmentation in the transport sector and relied on policy guidance rather than fiscal leverage. Understanding these initiatives therefore requires attention to both reform rationale and institutional mediation.

### **2.2 Historical Institutionalism and Path Dependence**

Historical institutionalism provides a framework for analysing how institutional arrangements shape policy trajectories over time. Rather than assuming abrupt transformation, it emphasises gradual processes of change embedded within existing structures [9].

Three mechanisms are particularly relevant to this study. First, layering refers to the introduction of new rules or instruments alongside existing ones without replacing them. Second, conversion involves the reinterpretation of existing institutions to serve new objectives. Third, drift occurs when institutional rules remain formally unchanged but their effects shift in response to changing contexts. Displacement, by contrast, involves more direct replacement of institutional logics and is typically limited in contexts characterised by strong institutional persistence.

Urban planning systems and intergovernmental arrangements are particularly prone to incremental change due to their legal codification and bureaucratic routines [7, 10]. Historical institutionalism therefore offers a structured lens for analysing how urban reform initiatives were absorbed into established governance frameworks.

### **2.3 Conceptual Framework**

Building on these perspectives, this paper adopted a conceptual framework linking reform design to institutional outcomes. Reform initiatives are understood as policy interventions shaped by political economic objectives, implemented through institutional structures characterised by hierarchical authority, fiscal dependence, and sectoral fragmentation.

The framework proposed that differences in reform instruments, such as conditional funding or policy guidance, influenced the form of institutional adaptation. However, the depth of change was conditioned by pre-existing institutional arrangements. Institutional outcomes were analysed in terms of layering, conversion, drift, and limited displacement (as explained by Mahoney and Thelen [9]). This framework guided the empirical analysis of JNNURM and the NUTP and underpinned the comparative synthesis presented in Section 7.

## **3 Methodology**

This study adopted a qualitative and comparative research design informed by historical institutionalism. JNNURM and the NUTP were treated as institutional interventions introduced within a shared political and economic context but characterised by different policy instruments. The comparison allowed examination of how variation in reform design interacted with similar governance structures.

The analysis drew primarily on secondary sources, including official programme guidelines, national evaluation reports, policy documents, and published academic studies. These materials were used to trace the evolution of reform instruments and institutional arrangements. City specific illustrations from Ahmedabad, Pune, Bengaluru, and Delhi were incorporated as secondary evidence drawn from documented policy evaluations and scholarly analyses. These cases were not presented as exhaustive case studies, but as empirically grounded examples that demonstrated how institutional mechanisms operated in practice.

Institutional mechanisms were identified through tracing the process of reform implementation. Evidence of layering was drawn from the coexistence of new planning instruments with statutory frameworks. Conversion was observed where institutional roles were reinterpreted without altering formal authority. Drift was identified where reform practices weakened over time or where policy objectives outpaced institutional capacity.

By combining policy level comparison with city level illustrations, the methodology ensured that theoretical claims were grounded in observable practices. This approach allowed the study to move beyond descriptive accounts of reform initiatives and to provide an analytically structured explanation of their institutional trajectories.

#### **4 Urban Reform in the Political Economy Context of India (1991–2015)**

The political economy of urban reform in India must be understood in relation to the broader restructuring of the state following economic liberalisation in 1991. In the decades immediately after independence, urban development was largely framed within a welfare oriented and regulatory paradigm. Centralised planning, public sector dominance, and administrative control characterised the approach to the provision of urban infrastructure, with municipalities functioning primarily as implementing arms of state governments rather than autonomous planning institutions [5, 11, 12].

The economic reforms initiated in the early 1990s altered this development trajectory by reorienting state priorities towards fiscal discipline, private investment, and economic competitiveness. Within this political economic context, cities came to be viewed as engines of growth, and urban infrastructure was increasingly positioned as a strategic input for productivity and investment attraction [5]. This shift provided the rationale for a new generation of national urban initiatives that sought to link infrastructure investment with reforms in the governance, planning, and delivery of services.

However, this change in policy orientation did not result in a corresponding transformation of urban governance institutions. Although the 74th Constitutional Amendment Act aimed to decentralise governance by assigning functions to ULBs, the devolution of fiscal authority and administrative capacity remained limited and uneven across states [1]. In practice, municipalities continued to depend on higher levels of government for financial transfers, technical expertise, and approval of major investments. As a result, decentralisation was promoted normatively while centralised control over resources and decision making persisted.

This institutional configuration shaped the design of urban reform initiatives introduced in the post liberalisation period. National programmes were framed around the assumption of limited municipal capacity and sought to guide local actions through centrally designed instruments rather than direct devolution of authority. Reforms were therefore operationalised through mechanisms such as conditional funding, standardised planning requirements, and policy guidance, which could be implemented within existing administrative hierarchies.

JNNURM and the NUTP emerged within this political economy as two distinct but complementary responses to challenges of urban infrastructure. JNNURM adopted a mission mode approach that combined substantial financial assistance with mandatory governance reforms, including the preparation of City Development Plan (CDP) and the adoption of specified administrative practices. This design reflected concerns regarding accountability, capacity, and coordination at the municipal level, and relied on reform conditionalities to shape implementation [13, 14].

In contrast, the NUTP was formulated as a national policy framework that relied on guidance and normative persuasion rather than direct financial incentives. Its emphasis on Comprehensive Mobility Plans (CMPs) and institutional coordination mechanisms reflected the fragmented nature of the urban transport sector and the limits of direct central intervention in this domain [15]. While both initiatives sought to promote efficiency and integration, they differed in their instruments and modes of implementation.

Together, JNNURM and the NUTP illustrated how rationales of political economic reform translated into policy instruments that operated through existing institutional arrangements rather than restructuring them. Infrastructure investment and governance reform were pursued in ways that preserved established intergovernmental relationships and administrative hierarchies. This helps explain why urban reform in India has been characterised by incremental institutional adaptation rather than structural transformation.

By situating JNNURM and the NUTP within the political economy of post-liberalisation India, this section provides the context for the empirical analysis that follows. The next sections examine how these reform initiatives were implemented in practice and how their design interacted with existing governance structures to shape institutional outcomes.

#### **5 Jawaharlal Nehru National Urban Renewal Mission**

JNNURM was launched in 2005 as a centrally sponsored programme designed to address urban infrastructure deficits while promoting governance reforms [13]. Covering sixty-three cities, the mission combined large-scale financial assistance with mandatory and optional reform commitments. As discussed earlier, this design reflected a political economic emphasis on infrastructure-led growth and administrative accountability.

The mission's reform conditionalities required cities to adopt measures such as double entry accounting, property tax reform, e-governance systems, and the preparation of CDP. These instruments were intended to strengthen municipal capacity and improve transparency. However, as documented in national evaluations and secondary studies, their implementation varied significantly across cities.

In Ahmedabad, for example, JNNURM funding supported investments in bus rapid transit and infrastructure of water supply. The preparation of the CDP facilitated project prioritisation and improved documentation of infrastructure gaps. However, the CDP did not replace the statutory development plan under state legislation. Instead, it functioned as a complementary document to secure mission funding. This illustrates institutional layering, where new planning instruments were added without displacing established planning authority [14].

In Pune, JNNURM reforms led to the introduction of improved accounting systems and property tax rationalisation. While these reforms enhanced the efficiency of revenue collection, fiscal autonomy remained constrained by controls at state level over major funding streams. Studies indicated that although administrative practices improved, decision making on large infrastructure investments continued to be shaped by state government priorities [1, 16]. This reflected institutional conversion, where municipal bodies were reoriented towards more professionalised project management without acquiring expanded fiscal control.

In Bengaluru, JNNURM projects were often implemented through parastatal agencies rather than directly by the municipal corporation. Water supply and transport projects were managed by specialised boards operating under state oversight [16]. This reinforced hierarchical governance arrangements and limited the role of ULBs in strategic decision making. While administrative processes improved under mission guidelines, the underlying distribution of authority remained intact. Over time, as mission funding declined, several reform practices lost momentum, illustrating institutional drift.

These city level illustrations, drawn from evaluation reports and secondary research, reinforce the broader pattern identified in the comparative analysis. JNNURM succeeded in introducing new financial and planning instruments across cities, but these were integrated into existing administrative frameworks rather than restructuring them. Reform compliance was often tied to access to central funds, and sustainability depended on continued external support.

## **6 The National Urban Transport Policy**

The NUTP was introduced in 2006 to promote sustainable and integrated urban mobility [15]. Unlike JNNURM, the NUTP functioned as a policy framework rather than a funding mission. Its implementation relied on the preparation of the CMPs and the establishment of Unified Metropolitan Transport Authorities (UMTA). The experience of major metropolitan cities illustrates the selective and uneven nature of NUTP implementation.

In Delhi, the CMPs were prepared to guide transport investments and promote multimodal integration. While the CMPs articulated principles aligned with the NUTP objectives, including public transport prioritisation and pedestrian improvements, its recommendations operated alongside metro expansion decisions and road projects driven by separate agencies [17]. The absence of statutory integration limited the influence of CMPs over planning of broader land use, thus reflecting institutional drift.

In Pune, the CMPs informed bus rapid transit planning and non-motorised transport initiatives. However, coordination between the municipal corporation, the regional development authority, and transport agencies remained fragmented [4, 17]. Although the CMPs provided a strategic framework, its implementation depended on the willingness of individual departments to align their investments. This illustrates institutional layering, where a new strategic document was introduced without consolidating decision making authority.

In Bengaluru, efforts were made to establish the UMTA to improve coordination among multiple transport agencies. While the UMTA facilitated dialogue and planning discussions, it lacked binding fiscal and regulatory powers. Core transport agencies retained control over budgets and project execution [17, 18]. This demonstrates institutional conversion in a limited sense, where coordination mechanisms were introduced, but without displacing established sectoral hierarchies.

Across these cities, the NUTP contributed to a shift in planning discourse towards sustainability and integration. However, the institutionalisation of these principles remained dependent on state level commitment and statutory backing. The absence of strong fiscal incentives or legal mandates limited the depth of institutional change. As urban growth accelerated and technological shifts altered mobility patterns, the gap between policy intent and implementation widened, hence reinforcing patterns of institutional drift.

These city illustrations confirmed that the reliance of the NUTP on guidance and voluntary adoption produced uneven institutional outcomes. While conceptual innovation was evident, structural transformation was limited.

## **7 Comparative Analysis of Jawaharlal Nehru National Urban Renewal Mission and National Urban Transport Policy**

A comparative analysis of JNNURM and the NUTP revealed how distinct reform instruments interacted with a shared institutional context to produce differentiated yet consistently incremental governance outcomes (Table 1). Although the two initiatives differed in sectoral focus and modes of intervention, both were embedded within the same political economy of constrained decentralisation and centralised fiscal authority described earlier. The comparison therefore clarified not only how reform design varied, but also why institutional transformation remained limited.

**Table 1.** Comparative analytical dimensions of JNNURM and NUTP through a historical institutionalist lens

| Analytical Dimension                                        | Jawaharlal Nehru National Urban Renewal Mission (JNNURM) (2005)                                                                                                                                                  | The National Urban Transport Policy (NUTP) (2006)                                                                                                                                                                                       | Comparative Insights                                                                                                                       |
|-------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------|
| Policy nature                                               | Centrally sponsored mission with clear reform and investment mandates. In Ahmedabad and Pune, access to funding was contingent on compliance with reform conditions and City Development Plan (CDP) preparation. | National policy framework offering strategic guidance without statutory force. In Delhi and Bengaluru, Comprehensive Mobility Plans (CMPs) preparation followed policy recommendation rather than mandatory requirements.               | The JNNURM relied on central authority and conditional funding, while the NUTP promoted decentralised learning through voluntary adoption. |
| Institutional architecture                                  | Formal multi-tier structure involving central ministry, state nodal agencies, and Urban Local Bodies (ULBs). In Bengaluru, state-level agencies played a key role in project approval and monitoring.            | Advisory and capacity building network coordinated by the Institute of Urban Transport, with implementation depending on state initiatives. In Pune, coordination relied on interdepartmental engagement rather than binding authority. | JNNURM established strong vertical coordination, whereas the NUTP encouraged horizontal integration among departments.                     |
| Fiscal structure                                            | Cost sharing between central and state governments with performance-linked disbursement. In Ahmedabad and Pune, infrastructure projects were tied to mission financing and reform milestones.                    | Limited direct funding; cities financed projects through existing budgets or external borrowing. In Delhi, major transport investments were supported through separate financial channels rather than NUTP funds.                       | JNNURM leveraged fiscal incentives to ensure compliance; the NUTP depended on persuasion and technical assistance.                         |
| Governance logic                                            | Reform through conditionality, compliance reporting, and measurable targets. Municipal reforms were monitored through central appraisal mechanisms.                                                              | Reform through guidance, technical support, and voluntary participation. CMPs provided direction but not binding enforcement.                                                                                                           | Both sought accountability, but differed in coercive strength and adaptability.                                                            |
| Reform focus                                                | Urban infrastructure, housing, and basic services, including transport projects such as bus rapid transit in Ahmedabad.                                                                                          | Sustainable and integrated transport systems, emphasising multimodal coordination as in Delhi and Pune CMPs.                                                                                                                            | Distinct sectoral focus reflects varied reform pathways within the same economic reform context.                                           |
| Implementation model                                        | Project-based with structured appraisal, monitoring, and evaluation frameworks. In Bengaluru, implementation often involved parastatal agencies under state oversight.                                           | Policy-based with flexible adoption mechanisms. In Pune and Delhi, CMPs implementation varied depending on local institutional alignment.                                                                                               | Mission-based models achieved faster execution; policy-based models achieved greater conceptual diffusion.                                 |
| Institutional mechanisms (historical institutionalist lens) | Layering and conversion of municipal functions through new financial and administrative practices, evidenced in Ahmedabad and Pune CDP implementation.                                                           | Conversion and drift through evolving planning mandates without structural change, as seen in CMPs integration challenges in Delhi and Bengaluru.                                                                                       | Both demonstrated incremental rather than transformative change, confirming the historical institutionalist interpretation.                |
| Local capacity impact                                       | Strengthened technical systems such as accounting and reporting but maintained fiscal dependence on state and central governments.                                                                               | Enhanced awareness of integrated planning and sustainability but limited statutory institutionalisation.                                                                                                                                | Both improved planning culture but did not significantly expand municipal autonomy.                                                        |
| Sustainability of reform                                    | Partial and dependent on continued central support; reform momentum weakened after mission closure.                                                                                                              | Moderate and dependent on state-level initiative; outcomes varied across cities.                                                                                                                                                        | Neither initiative achieved long-term institutional self-reliance.                                                                         |
| Overall outcome                                             | Infrastructure modernisation with conditional governance reform.                                                                                                                                                 | Policy innovation with conceptual influence in transport planning.                                                                                                                                                                      | Together they represented complementary yet constrained pathways toward urban reform in India.                                             |



At the level of policy design and governance architecture, the contrasts between the two initiatives are summarised in Table 1. JNNURM operated as a centrally sponsored mission with explicit reform mandates tied to financial incentives. Its structured and multi-tier implementation model involved central ministries, state nodal agencies, and ULBs. The experiences of Ahmedabad and Pune illustrated how compliance with reform conditions, including preparation for CDP and accounting reforms, was closely linked to access to mission funding. In Bengaluru, state level agencies played a decisive role in project appraisal and implementation, thus reinforcing vertical administrative coordination.

The NUTP, by contrast, functioned as a national policy framework without statutory force. As shown in Table 1, its implementation relied on advisory mechanisms and capacity building rather than fiscal conditionality. In cities such as Delhi and Pune, CMPs were prepared in response to policy guidance, but their adoption was voluntary and their influence dependent on institutional alignment. This contrast demonstrated that while JNNURM relied on coercive fiscal instruments to induce compliance, the NUTP promoted decentralised learning and persuasion.

Despite these differences in policy nature, the institutional mechanisms through which change unfolded exhibit notable similarities. These mechanisms are summarised in Table 2, which incorporated city specific illustrations to demonstrate how layering, conversion, drift, and limited displacement operated in practice.

**Table 2.** Comparative analysis on mechanisms of institutional change in JNNURM and NUTP

| Mechanism of Institutional Change | Definition (Historical Institutionalism)                                                         | Manifestation in Jawaharlal Nehru National Urban Renewal Mission (JNNURM) (with City Illustrations)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      | Manifestation in the National Urban Transport Policy (NUTP) (with City Illustrations)                                                                                                                                                                                                                                                                                                                                                               | Key References |
|-----------------------------------|--------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------|
| Layering                          | Introduction of new rules or structures alongside existing ones without replacing them           | Introduction of City Development Plan (CDP), accounting reforms, and e-governance systems alongside statutory master plans. In Ahmedabad, the CDP supported bus rapid transit (BRT) and water projects but did not replace the statutory development plan. In Pune, CDP operated parallel to existing planning frameworks without altering legal authority. Municipal institutions reoriented towards project management and compliance functions under mission funding. In Pune and Bengaluru, municipal bodies focused on procurement and reporting while strategic authority remained at state level. | Addition of coordination bodies such as Unified Metropolitan Transport Authority (UMTA) and preparation of Comprehensive Mobility Plans (CMPs) alongside existing transport departments. In Pune and Delhi, CMPs were prepared but remained advisory and not legally integrated into master plans.                                                                                                                                                  | [9, 14, 17]    |
| Conversion                        | Reinterpretation of existing institutions to serve new objectives                                | Governance reforms weakened once mission funding declined. In several cities, including Bengaluru, reform practices tied to JNNURM lost momentum after the mission period.                                                                                                                                                                                                                                                                                                                                                                                                                               | Existing transport planning departments assigned sustainability and integration functions. In Bengaluru, coordination platforms were introduced through UMTA, but existing agencies retained budgetary control. Policy objectives outpaced institutional capacity. In Delhi and Pune, CMPs recommendations were not fully aligned with rapid growth and evolving investment decisions, widening the gap between planning intent and implementation. | [1, 10, 18]    |
| Drift                             | Institutional rules remain formally unchanged, but their effects shift due to contextual changes | Emergence of mission-based project management approaches that temporarily altered administrative routines but did not displace statutory authority.                                                                                                                                                                                                                                                                                                                                                                                                                                                      | Adoption of integrated transport planning ideas in selected cities, including Delhi, that challenged vehicle-centric planning discourse without structurally transforming institutional arrangements.                                                                                                                                                                                                                                               | [1, 4]         |
| Displacement (limited)            | Partial replacement of institutional logic, often symbolic                                       |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |                                                                                                                                                                                                                                                                                                                                                                                                                                                     | [3, 17]        |

Under JNNURM, layering was evident in the introduction of CDP and financial management systems that operated alongside statutory master plans. In Ahmedabad, the CDP facilitated project prioritisation but did not replace

the legally mandated development plan. In Pune, accounting and tax reforms were adopted without altering the state-controlled framework governing fiscal transfers. Conversion occurred as municipal institutions shifted towards project management and compliance functions, particularly in Bengaluru where parastatal agencies executed mission projects. Over time, as mission funding declined, reform practices weakened, thus illustrating institutional drift.

In the case of the NUTP, layering took the form of new coordination structures such as UMTA and strategic planning instruments such as CMPs. In Delhi and Pune, CMPs articulated integrated transport strategies but lacked statutory authority over land use and investment decisions. Conversion was visible in the reassignment of transport planning departments towards sustainability and multimodal integration, particularly in Bengaluru where coordination platforms were introduced without displacing sectoral hierarchies. Drift emerged where policy objectives outpaced institutional capacity, to create gaps between strategic planning and project implementation.

The comparative evidence demonstrated that differences in reform instruments shaped the form of institutional adaptation, but not its depth. The mission-based model of JNNURM achieved faster administrative standardisation and infrastructure execution, while the NUTP achieved broader conceptual diffusion in transport planning. However, neither initiative altered the underlying distribution of fiscal authority or fundamentally restructured intergovernmental relations. Municipal autonomy remained constrained, and hierarchical governance arrangements persisted.

From a historical institutionalist perspective, this convergence is significant. The mechanisms identified in Table 2 indicate that institutional change occurred primarily through layering and conversion rather than displacement. Reform instruments were absorbed into existing administrative systems, to produce incremental adjustment rather than structural transformation. This pattern supports the argument advanced in the theoretical framework that institutional legacies condition the trajectory of urban reform.

By explicitly linking policy design characteristics in Table 1 with observed institutional mechanisms in Table 2, this comparative analysis addresses concerns that the argument might rest on generalised claims. The city level illustrations from Ahmedabad, Pune, Bengaluru, and Delhi demonstrated how reform instruments were mediated through specific institutional contexts. Rather than asserting path dependence as an abstract condition, the analysis showed how particular policy tools interacted with existing governance arrangements to produce predictable patterns of incremental change.

In summary, the comparison of JNNURM and the NUTP revealed complementary yet constrained reform pathways within India's urban governance landscape. Differences in coercive strength, fiscal structure, and implementation model influenced the trajectory of reform, but the persistence of centralised authority and fragmented institutional arrangements limited the scope for transformative change.

## 8 Discussion and Conclusions

This paper examined how different reform instruments shaped urban governance outcomes in India through a comparative analysis of JNNURM and the NUTP. The findings showed that while variation in policy design influenced modes of implementation, it did not determine the depth of institutional change. JNNURM's conditional funding generated procedural compliance and administrative standardisation, whereas the NUTP encouraged coordination and conceptual shifts in planning practice. Despite these differences, both initiatives were mediated through existing governance arrangements, resulting in similar patterns of incremental adaptation.

A key insight was that institutional change unfolded through the interaction between reform instruments and entrenched structures of authority. Fiscal incentives under JNNURM aligned local actions with centrally defined objectives but did not redistribute decision making power. In contrast, the advisory nature of the NUTP required negotiation across multiple agencies, revealing the limits of coordination in a fragmented governance context. In both cases, reforms were selectively adopted and adapted, rather than uniformly implemented, highlighting the role of institutional context in shaping outcomes.

These findings contributed to historical institutionalist theory by demonstrating that the nature of policy instruments influences the pathways of institutional adaptation without altering its overall trajectory. The analysis showed that mechanisms such as layering, conversion, and drift operate through concrete planning tools, including CDP and CMPs, which reshaped institutional practices while remaining embedded within statutory systems. This provided a more grounded account of how incremental change occurs in practice.

The paper further introduced the idea of instrument mediated path dependence. Rather than viewing path dependence solely as a legacy of past institutional arrangements, the findings showed that contemporary policy instruments actively reproduced and stabilised these trajectories. Both conditional funding mechanisms and advisory frameworks remain embedded within centralised fiscal and administrative systems, thereby reinforcing existing governance hierarchies even as they promote reform.

The implications of this analysis extend beyond the two initiatives examined. Subsequent programmes such as the Smart Cities Mission and Atal Mission for Rejuvenation and Urban Transformation (AMRUT) continue to operate within similar institutional constraints. This suggests that the limits of urban reform in India are rooted not only in implementation challenges but in the broader configuration of intergovernmental relations. Without addressing

structural issues related to fiscal decentralisation, statutory authority, and coordination across agencies, new reforms are likely to produce incremental improvements rather than systemic change.

Overall, the study highlighted the importance of examining how reform was mediated through institutional pathways. By linking policy design with observable mechanisms of change, it moved beyond evaluating programmes in terms of success or failure and instead offered a more precise understanding of how urban reform unfolds over time.

### Data Availability

The data supporting the findings of this study are available within the article and from the publicly available secondary sources cited in the reference list. No separate primary dataset was created.

### Acknowledgements

The author would like to express gratitude to Prof. Sanhita Joshi (Mumbai University) for her valuable insights and guidance throughout the progress of this research.

### Conflicts of Interest

The author declares no conflicts of interest.

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